Syllabus Edition
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Marketing Strategy

Exam code: 0450, 0986 & 0264, 0774

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The importance of the different elements in the marketing mix

- The **marketing mix** has a significant impact on consumer decisions
  - Businesses need to thoroughly consider each element when developing a suitable marketing strategy so that it is **attractive** to the intended target market
  - A change in one element can have a significant impact on the others
    - For example, an increase in price may require a redesign of packaging to encourage customers to recognise a product is high quality
  - The **marketing mix should change** as a product moves through different stages of its **product life cycle**
    - For example, newly-launched products may be sold at a low price initially until sales start to grow; at this point, the price may be increased to improve **profit margins**
- If the marketing strategy **fails to combine the elements of the marketing mix appropriately,** the marketing objectives are unlikely to be achieved

Why each element is important

1. Product

- The product/service is the **heart of the marketing mix** and determines all other elements
  - Price, the **target market**, distribution methods and promotional activity stem from the product

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

product may require an increase the price and redesigned promotional activity to reflect the new product's image

- **Questions to consider**
  - Is the product brand new, or is it an existing product?
  - What type of product is desired by the target market?
  - What changes need to be made to the product to make it more desirable?

2. Price

- The price of a product is closely linked to its **perceived brand value**
  - If a product is priced too high, it may be perceived as too expensive by the target audience, leading to lower sales
  - If a product is priced too low, it may be **perceived as low quality,** leading to lower sales
- Increasing the price may require changes to the promotion strategy, which are aimed at convincing consumers of the product's value
- **Questions to consider**
  - What price do rivals charge?
  - What price is the target market willing and able to pay?
  - What impact might promotional pricing have on demand?

Help me understand

3. Promotion

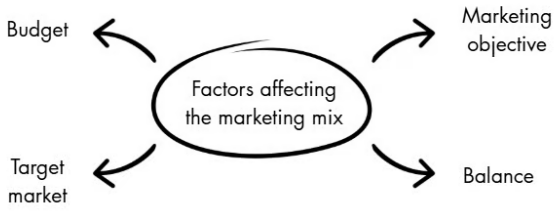
- The **promotion strategy can affect the price and distribution channels**
  - For example, if a business decides upon promotional activity that emphasises luxury, it may need to increase the price to reflect the product's value
- **Questions to consider**
  - What is the promotional **budget**?
  - How does the target market respond to different methods of promotion?
  - What methods do rivals use to promote their products?

4. Place

- **Distribution and sales channels affect the price and promotion strategy**
  - For example, if a business decides to use specialist distribution channels, it may need to increase the price to reflect the exclusivity of the product
- **Questions to consider**
  - What channels of distribution are most appropriate for the product?
  - Where does the target market expect to be able to buy products?
  - What channels of distribution do rivals use?

appropriate marketing mix

- Each business combines the different elements of the marketing mix in **unique ways** for each product or range they sell



Factors affecting the structure of the marketing mix

Marketing budget for the project

- Which advertising media or promotional tactics are affordable?
  - Large budgets will allow a business to use mass media such as TV advertising, whilst smaller budgets may afford limited promotional activity using social media

Marketing objectives to be achieved

- Is the plan to increase market share or launch a new product range?
  - Increasing market share may require an emphasis on low prices, whilst skimming may be important when launching a new product range

The intended target market for the product

- Is the product to be aimed at families or single-person households?
  - Products aimed at families may be sold in large multipacks, whilst single-person households may be targeted with smaller quantities of standard products

Is it a balanced marketing mix?

- Do the elements of the mix effectively complement each other?
  - Luxury products are likely to require a premium price, whilst products sold in supermarkets may be sold in bright packaging to stand out from other brands

Case Study

Fresh Fix's Balanced Marketing Mix

- Its main objective is to **build brand awareness** and **increase sales among 18–25-year old university students** who want quick, nutritious meals at low prices

Marketing Mix

- Fresh Fix's **balanced marketing mix** matches affordable, healthy meals with student needs, keeping costs low
- The business has chosen cost-effective ways to promote and distribute the boxes
- Each element supports its objectives and target market while staying within a tight budget

Product	Price
• Fresh Fix offers a small range of healthy, pre-packed meals made from fresh ingredients • Its menu includes vegetarian and vegan options • Each box includes a main meal, a snack and a drink • This limited product range keeps costs low and reduces waste • Offering healthier choices appeals to health-conscious students	• Fresh Fix uses **penetration pricing** to attract customers • Each meal box is priced at just £4.99 • This represents a lower-than-average price for high-quality food • This helps gain market share quickly and builds loyalty among price-sensitive students
Place	**Promotion**
• Meal boxes are sold **online through a simple website** and delivered to student accommodation in major university cities • This direct-to-consumer delivery model saves money on renting shop space and reaches students where they live, increasing convenience	• Fresh Fix promotes using social media platforms like Instagram and TikTok and offers a £1 discount for every friend referred • Low-cost digital marketing and referral incentives saves money • Social media is popular among students and referral

	spending much

Examiner Tips and Tricks

Don't just restate the 4Ps – examiners want you to **recommend a marketing mix tailored to the business's objectives and market conditions**, not a generic answer

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